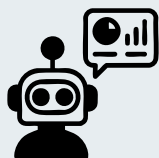


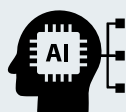
How AI is transforming market analysis



AI processed massive volumes of structured/unstructured market data far faster than humans



It identifies patterns, signals and sentiment that traditional analysis may overlook



AI reduces human biases by relying on data-driven, consistent evaluation



It excels at information retrieval, comparison and routine analytical tasks across companies



Despite its strengths, experts stress that AI is not a foolproof tool for predicting price movements

MANAGING RISK

Khoday says AI-powered risk tools help on two fronts. “First, they use pattern recognition to detect anomalies and forecast volatility.” By scanning vast amounts of market data, they can spot early signals like sudden price shifts, news triggers, liquidity shortages or unusual trading activity. “Second, they are much better at handling preset risk rules. This makes risk execution more disciplined and consistent.”

Sureka notes that AI’s strength comes from understanding non-linear relationships across variables.

“These non-linear relationships help identify and

flag unusual patterns or deviations from expected behaviour. These early warning tools and systems can help better manage risks; however, they cannot be completely eliminated, and black swan events will continue happening,” he says.

HERD BEHAVIOUR

Khoday warns against uncritical dependence on machine signals. “When too many systems react to the same signals, it can create chain reactions, especially in volatile markets. It’s like a car crash on a highway where one collision leads to many more,” he says.

Automated systems have already demonstrated their capacity to accelerate flash crashes. Human filters and contextual awareness are essential, he insists.

Sureka echoes this concern with an example. “Herd behaviour may arise if multiple investors leverage similar algorithmic systems and is highly automated. One example is the 2010 US flash crash, where the Dow dropped more than 1,000 points in 10 minutes. The index lost close to 9% of its value and over \$1 trillion in equity; 70% was regained the same day,” he says.

Even the most advanced models are dependent on the quality of data they are trained on. Khoday points out that as datasets increasingly converge, human interpretation becomes the real differentiator. “The role of the trader is evolving. Just like it has through every market cycle, human judgment will always be the edge.”

Sureka highlights the probabilistic behaviour of AI systems. “If the data curated for training contains biases, the model will reflect that.”

So, how should one respond when AI models flag risks? Khoday describes a balanced response framework: Evaluate the signal. “If it holds weight, then gauge the impact. It could mean reducing position size, tightening stop-loss levels, or in some cases, exiting altogether,” he says. The key, he emphasises, is preparedness.

Veteran trader Kejriwal and a couple of AI leaders are united in their view that AI is neither a plug-and-play solution nor an instant path to profit. It is powerful, fast, and increasingly indispensable, but requires careful understanding, reliable data, strong governance and human interpretation.

New-age traders agree. Nevertheless, AI’s ability to transform workflows, process large datasets and generate real-time insights is reshaping how investors operate, they say. **BT**

@prashuntalukdar